MLNA Rental Committee

Meeting 1: Purpose, Scope, and Plan

03/02/2026

Purpose of the Committee*

The purpose of this committee is to research, discuss, and develop recommendations to the MLNA Board regarding how our neighborhood should handle rental properties going forward, including whether rentals should be regulated or addressed through other policy mechanisms.

The committee will not make final decisions. Our role is to bring well-considered options and supporting information to the Board.

Additionally:

This committee serves as a pilot for further bylaw review and amendment. The model, what we learn, and what we accomplish can be used in the future to address other issues.

*Special Committees: Article XVI, Section 3

Scope & Constraints

- Any legal review will be funded by the HOA.
- The committee is not providing legal advice.
- The goal is to do as much upfront research and drafting as possible before involving an attorney.
- We should focus on approaches that are realistic and enforceable.

Decorum

- This is a forum for constructing future HOA policy.
- Respectful, professional discussion.
- Focus on gathering information.
- No outcome decisions today.
- Capture viewpoints and move forward.

Why Rentals?

Rental properties present a number of challenges to owner occupied HOA communities.

- **Protect property values:** Poor maintenance and inconsistent standards can reduce neighborhood value and quality of life.
- **Stability issues**: Higher tenant turnover in rentals.
- **Safety issues:** Increased calls to police, nuisance complaints, and animal control issues.
- **Accountability:** How to keep landlords accountable for problems caused by tenants.
- **Mallard Lake:** Risk of short-term rental pressure (Airbnb, etc.)

Survey Question

“Would you support updating HOA bylaws for rental properties to protect neighborhood safety, maintain property values, and ensure consistent rule enforcement?"

- 22/32 lots said yes (68.75%)
- 4/32 lots said maybe (12.5%)
- 6/32 did not respond (18.75%)

Process: Amendment vs. Board Adopted Rules/Regulations

- Our HOA can make changes:
  - Via Bylaw Amendment which requires a ⅔ vote of membership.
  - Via Board Adopted Rules and Regulations; membership vote not required.

Amendments* are generally required for changes that fundamentally alter property or ownership rights. For example, prohibiting rentals, increasing dues for rental properties, or introducing a rental cap (max number of rentals in a community).

Board Adopted Rules and Regulations** generally do not require a ⅔ vote. These are for regulating conduct within the existing bylaws. For example, requiring tenants to register with the HOA, making landlord responsible for tenant behavior, nuisance and safety enforcement standards, etc.

*Article XVII, Section 1
**Common Interest Community Association Act (765 ILCS 160)

Rental Bans

- There is legal precedent in Illinois that has upheld rental bans adopted through HOA* amendments.
- This option would require a ⅔ membership vote.
- This option represents one potential structural approach.
- Variations
  - Full ban for current and future
  - Ban with amortization or “sunsetting”, i.e., no future rentals, current ones must stop within a set time period
  - Ban/rental cap with grandfathering only applied to current owners who rent. New owners may not.
  - Ban with exceptions. For example, renting to family, allowing renting due to military leave, allowing owner occupant to rent a room, etc.

*Apple II Condominium Ass’n v. Worth Bank and Trust Co.

Rental Regulations

Our Board can adopt reasonable regulations to improve rental relations.

Examples:

- Tenant registration & acknowledgment of rules
- Landlord responsible for tenant violations
- Nuisance and safety enforcement standards
- Screening standards
- Minimum lease terms
- Move-in / move-out notification
- Pet restrictions
- Rental permit
- Insurance minimums / proof of insurance
- Lease submission

Examples are illustrative, not exhaustive. More examples can be found here.

Enforcement

- Our HOA currently has authority to pursue liens, injunctions, and, in extreme cases, eviction.*
- Our governing documents do not currently provide explicit, general authority for fines.**
- Enabling fines would likely require an amendment.

Examples:

- Amendment to ban rentals after a certain date, any property renting after that date is fined $100 per day.
- Amendment allowing fines when a rental regulation is not followed.
- Amendment stating unpaid fines or fees may be collected as assessments and may trigger liens.

Enforcement mechanisms must be clearly defined, legally reviewed, and applied uniformly.

**Injunction: Article IV, Section 1; Liens and Eviction: Article X, Section 15*
***Fining precedent: Article III, Section 1 does give the MLNA the power to fine $150 if garbage is left at the lake.*

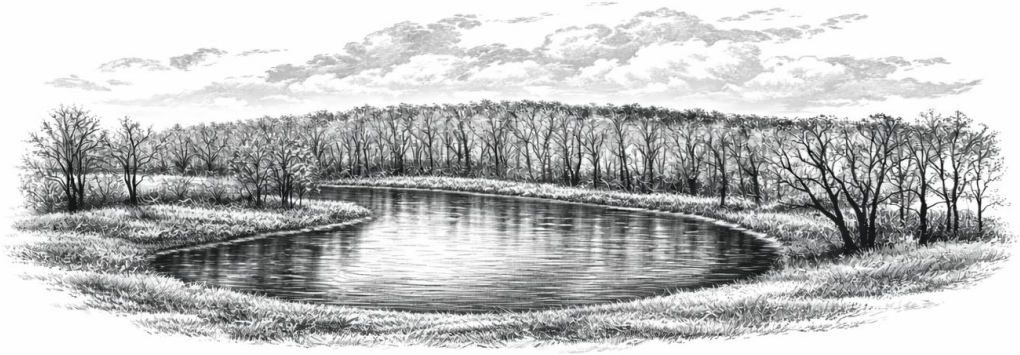
Path forward

- Committee develops a set of well-defined options*.
  - Ban vs. regulation.
- Present to Board.
- Gauge neighborhood support on drafted concepts before engaging an attorney.
- Engage attorney for legal review.
- Ratify.

*Action items for today:

- Start shared working document with options.
- Committee members can contribute and review offline.
- Set future meeting to discuss working document.

Discussion



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